

03 Underwriting Memo

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Prepared by Fictional scenario credit analyst

SYNTHETIC DEMO. YETI Demo Outdoor Products LLC and Scenario Lender Y01 are invented. No affiliation, financing or guarantee by YETI Holdings, Inc. is asserted. All financial figures, terms and scenario events below are fictional.

Approved origination position

For this simulation, approve the \$50.0000m facility under document 02. Bank cash is \$22.0000m, including \$2.0000m restricted. Eligible opening cash is \$20.0000m. Actual historical LTM EBITDA is \$36.0000m, giving illustrative opening Net Leverage of 0.8333 times. This illustration is not the first contractual quarter-end test.

A1 Gross margin and landed costs

The base case assumes \$20m monthly net sales and \$12m landed COGS, a 40% gross margin. Review below 37%; the C04 notice threshold is 33%. Unsold inbound freight remains in inventory and is not charged to EBITDA a second time.

A2 Inventory discipline

Opening inventory of \$24m remains stable as \$12m monthly purchases replace sold goods. Review a balance above \$28m; C04 notice applies above \$31.2m. Inventory is not eligible cash. Purchase orders without title transfer are not assets.

A3 Collections

Customer receipts of \$20m match sales, maintaining \$10m receivables. Review if receipts are more than 5% below the original monthly plan, after checking sales, aging and settlement evidence. A collection delay is distinct from a credit loss.

A4 Operating costs

Other operating costs remain \$5m monthly, including outbound distribution and normal occupancy. Review above \$5.3m. No freight, promotional or distribution cost add-backs are approved.

A5 Liquidity

The approved six-month forecast increases Unrestricted Cash from \$20.0000m to \$28.812500m. The original cash expectation, C01's \$12.0000m actual floor and C05's \$16.0000m forecast-reporting trigger are separate measures. No new debt or equity contribution is assumed.

A6 Reporting and evidence

The finance team is expected to reconcile operating results, working capital and bank cash within the C03 deadline. Contractual notices may be due sooner. Public-company background informs business understanding only. Review delays as evidence gaps, not automatic proof of economic loss or compliance.

Dependencies and approval

Sales or members affect revenue, but collection timing affects cash separately. Trace each mechanism once and preserve mitigants. Model file 04 supplies the drivers and statements; policy file 05 supplies review standards. Approve A1-A6 on October 1, 2026 and preserve these assumptions when later reports arrive. No later event is assumed here.